



ILLUSTRATION BY **RAJ VERMA**

NBFCs

Loaning Out

Jio Financial Services has launched instant digital loans against securities, allowing customers to avail loans of up to ₹1 crore through the JioFinance app

BY TEENA JAIN KAUSHAL

► FINANCIAL SERVICES COMPANY

Jio Financial Services has launched digital loan against securities (LAS), allowing customers to avail loans of up to ₹1 crore through the JioFinance app. With interest rates starting at 9.99%, the process is digital and quick; loans are approved and disbursed in under just

10 minutes.

Kusal Roy, MD and CEO of Jio Finance, said, “The launch of Loan Against Securities is part of our broader digital strategy to transform how customers access financial services. Our focus is on making financial products more accessible, efficient, and customer-friendly.”

This launch comes at a time when loan against securities is getting popular. According to data from the Reserve Bank of India (RBI), the outstanding amount under advances to individuals against share, bonds, etc jumped by 17% to ₹9,808 crore in February 2025, compared to a 8% rise in the same period the previous year. This increase shows growing awareness and acceptance of LAS as a convenient credit option.

A loan against securities is a way to borrow money without having to sell investments. If one has invested in stocks, mutual funds, or other market-linked instruments, they can pledge them as collateral to get a loan. This method is especially useful when you need emergency funds but don't want to exit your long-term investments.

The concept is simple—instead of liquidating a portfolio, you offer it as security to a lender. In return, you receive a loan that is typically a percentage of the value of the pledged assets.

Since the lender has collateral, the risk is lower, and this usually translates to better interest rates for the borrower.

How is the pledging done? A customer submits a pledge request form to the lender. The lender then forwards this request to the respective Registrar and Transfer Agent (RTA), such as KFintech or CAMS.

The RTA processes the request, creates the pledge, and sends a confirmation to both the customer and the lender. The maximum loan tenure is three years, and there are no charges for early repayment.

Pledging investments has several advantages. One, you retain ownership of your securities and can benefit from any future gains. Two, the interest rates are usually lower than unsecured credit options like personal loans or credit card debt. **BT**

@teena_kaushal